2. To Express Opinion on Financial Statements

After verifying the accuracy of the books of accounts, the auditor should express his expert opinion on the truthness and fairness of the financial statements. Finally, the auditor should certify that the Profit and Loss Account and Balance Sheet represent a true and fair view of the state of affairs of the company for a particular period.

- **Meaning of Financial Statement**

  Financial Statement means the statements prepared at the end of the year taking into account the business activities that took place for a year, for example, transactions that takes place in a business concern from 1st April to 31st March.
- **Components of Financial Statement**

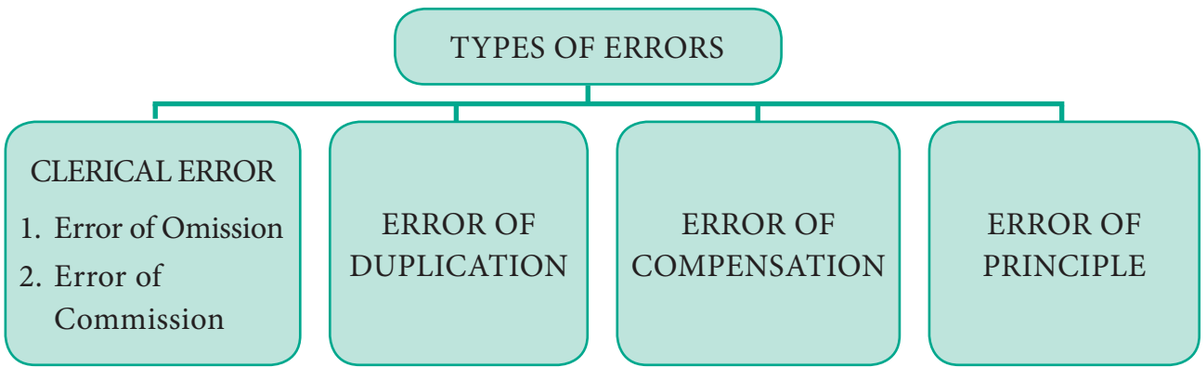
  Financial Statement includes the following:
  1. Trading and Profit and Loss Account, and
  2. Balance Sheet.
- **Elements of Financial Statements include the following:**
  1. **Assets:** Assets include cash and bank balance, value of closing stock, debtors, bills receivable, investments, fixed assets, prepaid expenses and accrued income.
  2. **Liabilities:** Liabilities include capital, profit and loss balance, creditors, bills payable, outstanding expenses and income received in advance.
  3. **Revenue:** Revenue includes sales, collection from debtors, rent received, dividend, interest received and other incomes received.
  4. **Expenditure:** Expenditure includes purchases, payment to creditors, manufacturing and trade expenses, office expenses, selling and distribution expenses, interest and dividend paid.

1.9.2 Secondary Objectives

The secondary objectives of audit are: (1) Detection and Prevention of Errors, and (2) Detection and Prevention of Frauds.

Detection And Prevention of Errors

The Institute of Chartered Accountants of India defines an error as, "an unintentional mistake in the books of accounts." Errors are the carelessness on the part of the person preparing the books of accounts or committing mistakes in the process of keeping accounting records. Errors which take place in the books of accounts and the duty of an auditor to locate such errors are discussed below:



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